

**Seventh Semester B. Tech. (Electronics and Communication
Engineering) Examination**

ENGINEERING ECONOMICS

Time : 3 Hours]

[Max. Marks : 60

Instructions to Candidates :—

- (1) All questions carry marks as indicated against them.
 - (2) Assume suitable data and illustrate answers with graphical representations wherever necessary.
1. A retail store increases the price of a popular product from Rs. 20 to Rs. 25. The quantity demanded decreases from 1,500 units to 1,200 units. Calculate the price elasticity of demand for the product. Based on your calculation, classify the elasticity as elastic, inelastic, or unitary. Show the result diagrammatically. 10(CO1)
 2. What are the key steps in the rational decision-making process ? Describe each step and its importance in making effective decisions. 10(CO2)
 3. (a) Explain the concept of cost. What are the different types of costs that are considered in economics. 10(CO3)

OR

- (b) A plant-based food manufacturing company is considering investing in new production machinery to expand its operations. Conduct a Life Cycle Cost (LCC) analysis for two machinery options to determine the best choice for the company, considering both costs and long-term benefits. 10(CO3)
4. (a) Define a perfectly competitive market and explain its key features. Describe how output is determined in the short run and long run under perfect competition. 10(CO4)

OR

- (b) Write short notes on any Two of the following :
- (i) Causes of Inflation.
 - (ii) Index numbers.
 - (iii) Oligopoly.
 - (iv) Monopolistic Competition. 10(CO4)
5. Discuss the key components of balance sheet and their significance in financial reporting. Explain how assets, liabilities, and equity are categorized and what information each section provides to stakeholders. 10(CO5)
6. (a) Analyze the role of Non-Banking Financial Institutions (NBFIs) in the financial system. How do NBFIs, such as finance companies, leasing companies, and insurance firms, complement the services provided by traditional banks? 10(CO6)

OR

- (b) Write short notes on any **Two** of the following :
- (i) NBFIs.
 - (ii) NBSFOs.
 - (iii) Treasury bills.
 - (iv) Bond, Stocks.
 - (v) Commercial Banks. 10(CO6)

